



General AML & CFT Training

Date: 20 October, 2025

Agenda

- **Key Concepts of ML/TF**
 - AML & CFT Concepts
 - Importance of AML/CFT Activities
 - Impact of ML/TF Activities on Sheba Pay
 - Day in Life of a Money Launderer in Sheba Pay
- **Regulatory Frameworks for Sheba Pay**
 - What is a PSP License and what are its characteristics?
 - Relevant Regulatory Authorities of Sheba Pay
 - Who are the regulatory authorities of Sheba Pay?
 - What Guidelines do Sheba Pay need to follow?
- **Actions Taken by Sheba Pay to Combat Money Laundering and Terror Financing**
 - Key processes of Sheba Pay Compliance Department
 - Employee Requirements
- **Q&A**

Key Concepts of ML/TF

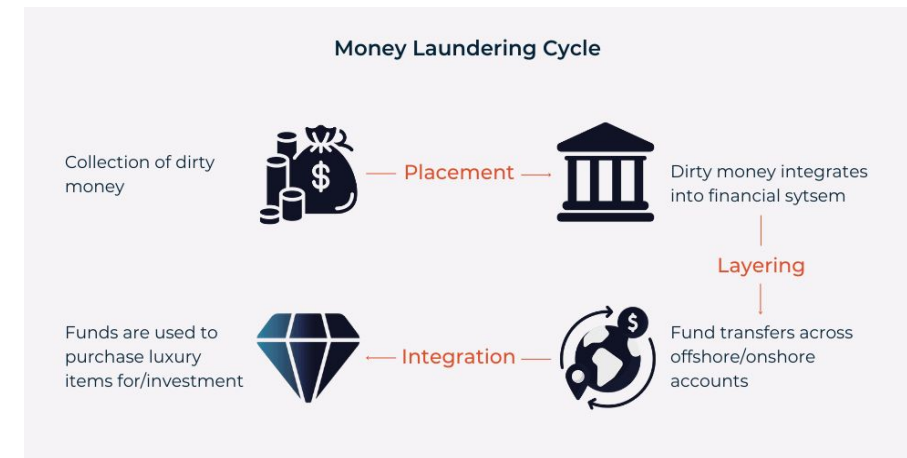
Key Concepts: ML & TF

Money Laundering

Money laundering is the process of hiding the origins of money obtained from illegitimate sources and changing its identity by passing through a complex sequence of banking transfers or commercial Transactions.

Money laundering usually involves three different steps. They are:

- Placement
- Layering
- Integration





- Al Capone - "Scarface".
- Used to earn money through organized crime and alcohol business.
- Express the earning as profit from laundry business.
- Officially money laundering was declared as a crime in 1930 in USA.



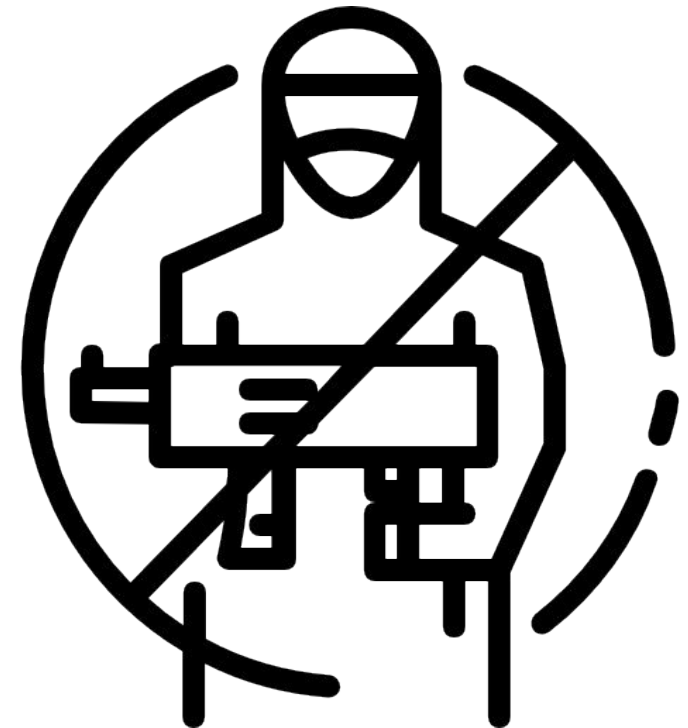
- **Placement:** It is the very first step of money laundering process. This step involves introducing the illegally obtained money or the “dirty” money in the financial system by some means.
- **Layering:** At this stage the illegally obtained money is moved around to create confusions about the money’s origin and sometimes it is done by wiring or transferring through numerous accounts. In a simpler terms, it is done by placing cash proceeds from criminal activities into the financial system.
- **Integration:** Collection of the money from numerous accounts so that the transactions does not seem suspicious. The end goal is to make the transaction seem legitimate.

Key Concepts: ML & TF

Terrorist Financing

The financing of terrorism involves providing finance or financial support to individual terrorists or non-state actors. The proceeds to commit acts of terror can be obtained through following means:

- Legal or illegal sources
- Financial, mental, or any other assistance
- Encourage others or assist



Importance of Combating Money Laundering and Terrorist Financing

Common Ground: Both exploit vulnerabilities in the financial system despite different objectives.

Consequences

- Undermines legitimate economic activities
- Encourages and rewards criminal activities
- Erodes public trust in financial institutions
- Threatens economic stability and national security

Impact of ML/TF Activities on Sheba Pay

Regulatory Risk

Non-compliance with Bangladesh Bank AML/CFT regulations can lead to heavy fines, sanctions, or even suspension of Sheba Pay's PSP license.

Reputational Damage

Association with ML/TF activities, even unintentionally, can damage Sheba Pay's brand trust among customers, merchants, and partners.

Operational Risk

Can overload internal monitoring systems, increase false positives, and consume valuable operational resources.

Impact of ML/TF Activities on Sheba Pay

Business Disruption

Suspicious transactions may lead to account freezes, transaction holds, or entire system shutdowns during investigations.

Financial Loss

Legal penalties, loss of business, and cost of investigations and system upgrades can have a direct financial impact.

Moral and Social Responsibility

Sheba Pay has a role in preventing crime, protecting customers, and maintaining the integrity of the financial system.

Exploiting ShebaPay for ML



Owner of Illegal Business

Owner of Legal Business

Collection of Money from Selling Drugs

Let's say a drug dealer



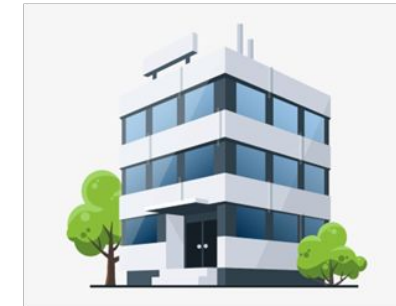
Placement:
Receiving money in several ShebaPay Wallets



Layering:
Using multiple personal/merchant accounts for layering



Integration:
Purposefully collecting the money from various shebapay accounts to make it appear as a legitimate business



It can be Any Stakeholder of ShebaPay

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Regulatory Frameworks

Regulatory Frameworks

Payment Service Provider (PSP)



According to BPSSR 2014, an entity licensed and approved by the Bangladesh Bank that provides payment service(s) to its participants or to a payment system for the purpose of facilitating payment(s) or payment processes and settling their transactions through a scheduled bank maintaining accounts with the Bangladesh Bank for meeting Cash Reserve Requirements.'

In Short, A Payment Service Provider (PSP) is an entity licensed by Bangladesh Bank to facilitate payments and settlements through a scheduled bank while maintaining required reserves.

Regulatory Frameworks

Payment Service Provider (PSP)



In line with the definition, a PSP shall have the following characteristics:

- a) PSP shall be licensed by Bangladesh Bank;
- b) PSP shall provide the payment services as approved in its license;
- c) PSP may issue e-money or payment instrument under terms and conditions of its license and subsequent rules and regulation of Bangladesh Bank;
- d) PSP shall maintain 'Trust Cum Settlement Account' with scheduled commercial bank.



- Financial Action Task Force was formed in 1989 to prevent Money Laundering and Terrorist Financing across the globe.
- Currently more than 200 countries are committed to implement FATF recommendations.
- Asia Pacific Group on Money Laundering is responsible to look after AML/CFT Activities of the nations in this region.



- Initially Money Laundering Prevention act was enacted in 2002. Later, after subsequent amendments and ordinance, it was finally passed as AML Act in 2012 which was amended in 2015 and now known as Money Laundering Prevention Act 2012 (Amendment 2015).
- Likewise, to prevent Terrorism, we have Anti-Terrorism Act 2009 (Amendment 2013).



- Autonomous body.
- **Submits monthly report PMO** likewise other intelligence agencies.
- Administrative Reporting to **Governor, BB.**
- **National Working Committee chaired by Finance Minister** and responsible to implement AML/CFT activities in line with international standard.

Regulatory Frameworks

Regulatory Bodies for Sheba Pay



Provides the PSP License and guidelines for Sheba Pay

Is the primary regulatory body of Sheba Pay

Oversees all operational and compliance activities of Sheba Pay

Ensures stakes of the customers and merchants are always upheld by administering penalties if non-compliant

Regulatory Frameworks

Regulatory Bodies for Sheba Pay



Issues directives and guidelines to ensure Sheba Pay implements robust AML/CFT measures (e.g. BFIU circular 26)

Monitoring and Analysis: Done through STR/SAR submission by Sheba Pay

Capacity Building and Training through regular workshops and courses

Information Exchange on potential ML/TF activities and escalation to LEA authorities

২৫। মানিলভারিং অপরাধ প্রতিরোধে রিপোর্ট প্রদানকারী সংস্থার দায়-দায়িত্ব।—(১)
মানিলভারিং অপরাধ প্রতিরোধে রিপোর্ট প্রদানকারী সংস্থার নিম্নরূপ দায়-দায়িত্ব থাকিবে, যথাঃ—

- (ক) উহার গ্রাহকের হিসাব পরিচালনাকালে গ্রাহকের পরিচিতির সঠিক ও পূর্ণাঙ্গ তথ্য সংরক্ষণ করা;
- (খ) কোন গ্রাহকের হিসাব বন্ধ হইলে বন্ধ হইবার তারিখ হইতে অনূ্যন ৫ (পাঁচ) বৎসর পর্যন্ত উক্ত হিসাবের লেনদেন সংক্রান্ত তথ্য সংরক্ষণ করা;
- (গ) দফা (ক) ও (খ) এর অধীন সংরক্ষিত তথ্যাদি বাংলাদেশ ব্যাংকের চাহিদা মোতাবেক, সময় সময়, সরবরাহ করা;
- (ঘ) ধারা ২ (য) এ সংজ্ঞায়িত কোন সন্দেহজনক লেনদেন বা লেনদেনের প্রচেষ্টা পরিলক্ষিত হইলে স্ব-উদ্যোগে অবিলম্বে বাংলাদেশ ব্যাংকে ‘সন্দেহজনক লেনদেন রিপোর্ট’ করা।

BFIU Circular 26

There are total 13 clauses in the circular which have been covered in below items.



AML/CFT Framework:

- Policy
- Strategy & Action Plan
- Committee
- CAMLCO/DCAMLCO/RAMLCO
- Annual Meet
- Risk Assessment



STR:

STR should be submitted to AML/CFT Function for further submission to BFIU.



KYC:

- Full & Correct information
- Screening Mechanism



Channel Partner Monitoring:

- Rigorous monitoring for High-Risk Customers
- Annual Assessment of Channel Partners



CDD/EDD:

Obtained information of all type of customers should be verified.



Awareness & Training:

Training for employees and Channel Partners
Awareness for customers and Channel Partners



Transaction Monitoring:

Transaction monitoring should be carried following **Risk Based Approach**.



Record Keeping:

Transaction monitoring should be carried following Risk Based Approach.

Regulatory Frameworks

Some of the Guidelines Followed by Sheba Pay

**Bangladesh Payment and
Settlement System
Regulations, 2014**

BFIU Circular 26

MLPA Act, 2012

ATA Act, 2009

**Merchant Acquiring
and Escrow Service
Guideline 2023**

ATR, 2013

Provision of Punishments

Offence of Money Laundering

- Imprisonment of 04-12 years
- Penalty of minimum 10 lacs

Offence of Terrorist Financing

- Imprisonment of 04-20 years
- Penalty of minimum 10 lacs

Violation of an order for freezing or attachment

- Imprisonment of 03 years
- Penalty amount is equivalent to the freeze or attachment amount.

Offence of Divulging Information

- Imprisonment of 02 years
- Penalty of 50 thousand
- Or both

Offence of providing false information

- Imprisonment of 01 years
- Penalty of 25 thousand
- Or both

Offence of noncooperation in investigation/failure to submit report/ obstruction in the supply of information

- Imprisonment of 01 years
- Penalty of 25 thousand
- Or both

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Actions Taken by Sheba Pay to Combat ML/TF

Actions Taken by Sheba Pay

Some of the Actions Taken by Sheba Pay Compliance to Combat ML/TF

**KYC verification and CDD
during customer
onboarding**

**Risk Based Approach to
determine the level of risk
associated with customer**

**Transaction Monitoring &
EDD if required**

**Implementing AML/CFT
guidelines according to BB
and BFIU guidelines**

**Regularly recording and
submitting STR/SAR to
BFIU**

**Company wide awareness
program on combating
ML/TF**

Responsibilities of Employees



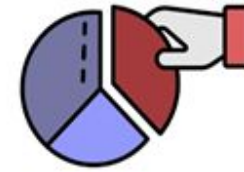
Consult

- New product/ Technology/ Procedure
- Confusion during on-boarding
- Any new type of situation appears



Cooperate

- When information is sought.
- When collaboration is requested.
- Reporting of incidents.



Take Active Part

- KYC
- CDD
- Monitoring

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Q&A



Thank You